

SK Telecom

2Q OP a slight beat, AI DC build-out strategy remains a key swing factor

2Q OP of W566B slightly beat consensus, driven by SKBB's increased OP contribution (W132B). In the wake of AI datacenter revenue growth of 93% y/y, SK Hyper's AI DC strategy was the dominant topic on the earnings call. Mgmt emphasized that SK Hyper will accelerate efforts to expand to 5GW by starting in Ulsan and moving into concrete negotiations with a wide range of potential customers, including global Big Tech firms. We are constructive on the ambitious AI DC strategy in light of the external capital skewed funding strategy and potentially attractive unit economics (15~20% OPM). On the flip side, SKT's recent pull back of foreign ownership reflects investor concern on increasing share price volatility from its AI exposure (Anthropic Stake, AI DC strategy). Reiterate OW with SoTP driven PT of W110,000.

- **2Q OP a slight beat.** Consolidated 2Q revenue of W4.4T (-0.8% q/q, 0.5% y/y) came 1% below Street consensus estimates. Wireless service revenue declined 1.9% y/y despite a higher ARPU acquisition plan. AI datacenter revenue surged 93% y/y on the back of the Pangyo DC acquisition and a utilization rate increase at the Gasan DC. Consolidated OP of W566B beat consensus by 3% thanks to increased OP contribution (W132B) from SKBB and tighter cost control in marketing and labor.
- **AI DC strategy was the dominant topic of 2Q earnings call.** SK Hyper plans to secure sites and power capacity to attract customers, and to take a leading role in driving the AI data center (AI DC) business. Total committed capital is W750B, and W330B is scheduled to be deployed this year. As data center capacity expands, the initial investment amount may increase, but the company plans to secure additional funding by raising capital from financial investors (and similar sources). Its top priority principle is to secure customers first and then build the data center, rather than building capacity first and looking for demand afterward. It also plans to secure the necessary funding after customer commitments are obtained, including from financial investors.
- **AI DC upside is not yet fully reflected in SKT's valuation,** and we are incrementally more constructive on the strategy given (1) SK Group's strong positioning across the global AI value chain, (2) rising investment interest from global AI service and infrastructure players in Korea as a potential AI ecosystem hub, (3) a funding approach skewed toward external capital (project finance/partners), and (4) attractive unit economics (c. 15~20% OPM). We estimate W3T of AI DC (plus submarine cable) value, applying a 6.6x EV/EBIT multiple (2030~2031E).
- **Shareholder return policy.** Mgmt guided to execute AI DC investments while maintaining a sound financial structure and a stable dividend level, using external investment capital as needed. Mgmt plans to continue maintaining a balance between investment and shareholder returns going forward. With the resumption of DPS of W830 in 1Q (recovery to pre-data-breach quarterly DPS), management reconfirmed its strong willingness to increase full-year DPS back to pre-data-breach levels (W3,540).
- **SOTP-driven PT of W110,000** consists of: 1) a DCF-derived value of W17.6T value for the core telco business (wireless and fixed line, including

Overweight

017670.KS, 017670 KS

Price (05 Aug 26):W93,200

Price Target (Dec-27):W110,000

Internet and Telco

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legacy datacenter operation), 2) W3T for <0.3% stake of Anthropic (a 30% NAV discount), and 3) W3T for the AI DC business (plus submarine cable), valued at 6.6x EV/EBIT on 2030~2031E earnings.

Table 1: SK Telecom: 2Q26 earnings review

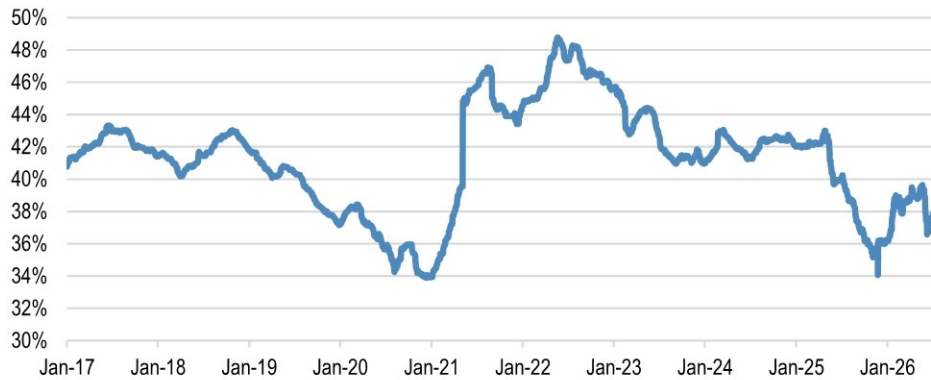
Wbn, %

	Actual	JPMc	Cons.	Cons. (28 days)	A vs. JPMc	A vs. Cons	A vs. Cons. (28 days)	Y/Y	Q/Q
Revenue	4,359	4,425	4,419	4,411	-1%	-1%	-1%	0.5%	-0.8%
OPEX	3,793	3,868	3,865	3,852	-2%	-2%	-2%	-5.2%	-1.6%
OP	566	557	545	547	2%	4%	3%	67.3%	5.3%
OPM	13.0%	12.6%	12.3%	12.4%	0.4%p	0.7%p	0.6%p	5.2%p	0.7%p
NP	471	348	375	375	35%	25%	25%	425.2%	46.0%
NPM	10.8%	7.9%	8.5%	8.5%	2.9%p	2.3%p	2.3%p	8.7%p	3.5%p

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 1: SK Telecom: Foreign ownership

%



Source: Bloomberg Finance L.P.

Investment Thesis, Valuation and Risks

SK Telecom (Overweight; Price Target: W110,000)

Investment Thesis

SKT's share price has pulled back 27% from the latest peak (vs. KOSPI's -22%), reflecting investors' rationalized view on the Anthropic proxy trade, in our view. We expect volatility tied to the proxy trade to moderate as optimism appears to be largely priced in. We are instead focusing on SKT's growing investment case as an AI datacenter ("AI factory") player after its aggressive capacity expansion plan. We see room for meaningful progress, supported by SK Group's strong position across the global AI value chain—an increasingly important catalyst for the stock. We are OW.

Valuation

Our Dec-27 PT of W110,000 is based on a SoTP valuation: (1) a DCF for the telco business, (2) the latest funding-round valuation for SKT's Anthropic stake, and (3) an EV/EBIT multiple for the AI datacenter business.

Table 3: SK Telecom: SoTP valuation

Wtrn

	Value
Total equity value	23.6
(1) Telco value (DCF)	17.6
(2) Anthropic stake value	3.0
Latest funding valuation	1,448
% of stake	0.3%
Stake value	4.3
% NAV discount	-30%
(3) AI DC value (0.5GW by 2030-2031E)	3.0
Rev (incl. submarine cable)	3.0
% EBIT margin	15%
EBIT	0.45
Target EV/EBIT multiple	6.6x
Outstanding shares (in mn)	214.8
Target price (W)	110,000

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our rating and price target include 1) slower-than-expected progress in the AI datacenter business; 2) worse-than-expected repercussions from the data breach issue; and 3) persistent regulatory pressure.

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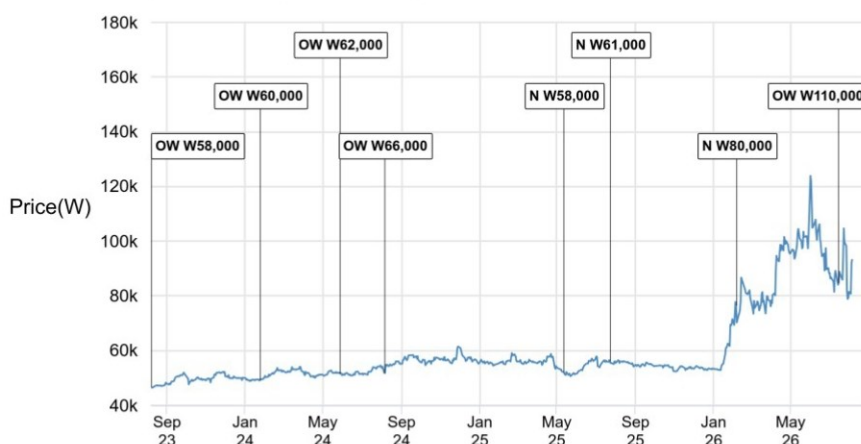
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SK Telecom (017670.KS, 017670 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
08-Aug-23	OW	46800	58,000
25-Jan-24	OW	49200	60,000
29-May-24	OW	51600	62,000
07-Aug-24	OW	51800	66,000
13-May-25	N	52200	58,000
24-Jul-25	N	56100	61,000
06-Feb-26	N	76500	80,000
16-Jul-26	OW	84700	110,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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